UNION PUBLIC SERVICE COMMISSION

Civil Services (Preliminary Exam) - 2014

CSAT : PAPER-II

(Chapterwise Analysis with Explanation)

Time : 2 hours **Maximum Number : 200**

COMPREHENSION

Direction for the following 5 (five) items.

Read the following two passages and answer the items that follow-each passage. Your answers to these items should be based on the passages only.

Passage-1

In recent times, India has grown fast not compared to its-own past but also in comparison with other nations. But there cannot be any room for complacency because it is possible for the Indian economy to develop even faster and also to spread the benefits of this growth more widely than has been done thus far, Before going into details of the kinds of micro-structural changes that we need to conceptualize and then proceed to implement, it is worthwhile elaborating on the idea of inclusive growth that constitutes the defining concept behind this Government's various economic policies and decisions. A nation interested in inclusive growth views the same growth differently depending on whether the gains of the growth are heaped primarily on a small segment or shared widely by the population. The latter is cause for celebration but not the former. In other words, growth must not be treated as an end in itself but as an instrument for spreading prosperity to all. India's own past experience and the experience of other nations suggests that growth is necessary for eradicating poverty but it is not a sufficient condition. In other words, policies for promoting growth need to be complemented with policies to ensure the more and more people join' in the growth process and further, that there are mechanisms in place to redistribute some of the gains to those who are unable to partake in the market process and, hence, get left behind

A simple way of giving this idea of inclusive growth a sharper form is to measure a nation's progress in terms of the progress of its poorest segment, for instance the bottom 20 per cent of the population. One could measure the per capita income of the bottom quintile of the population and also calculate the growth rate of income; and evaluate our economic success in terms of these measures that pertain' to the poorest segment. This approach is attractive because it does not ignore growth like some of the older heterodox criteria did. It simply looks at the growth of income of the poorest sections of the population. It also ensures that those who are outside of the bottom quintile do not get ignored. It that were done, then those people would in all likelihood drop down into the bottom quintile and so would automatically become a direct target of our policies. Hence the criterion being suggested here is a statistical summing up of the idea of inclusive growth. Which, in turn, leads to two corollaries: to wish that India must strive to achieve high growth and that we must work to ensure that the weakest segments benefit from the growth.

1. The author's central focus is on

(a) applauding India's economic growth not only against its own past performance, but against other nations.

(b) emphasizing the need for economic growth which is the sole determinant of a country's prosperity.

(c) emphasizing inclusive growth where gains of growth are shared widely by the population.

(d) emphasizing high growth.

Ans. (c) The author's central focus is on emphasizing the need for economic growth which is the sole determinant of a country's prosperity as a simple way of giving this idea of inclusive growth a sharper form is to measure a nation's progress in terms of the progress of its poorest segment for instance the bottom 20 percent of the population. One could measure the per capita income of the bottom quintile of the population and also calculate the growth rate of income and evaluate our economic success in terms of these measures that pertain to the poorest segment.

2. The author supports policies which will help

(a) develop economic growth.

(b) better distribution of incomes irrespective of rate of growth

(c) develop economic growth and redistribute economic gains to those getting left behind.

(d) put an emphasis on the development of the poorest segments of society

Ans. (c) According to the passage, the author supports policies for promoting growth need to be complemented with policies to ensure the more and more people join in growth process and further that there are mechanisms in place to redistribute some of the gains to those who are unable to partake in the market process and hence, get left behind.
Thus option (c) is correct.

3. Consider the following statements :

According to the author, India's economy has grown but there is no room for complacency as

1. growth eradicates poverty.
2. growth has resulted in properity for all.

Which of the statements given above is /are correct

(a) 1 only
(b) 2 only
(c) Both 1 and 2
(d) Neither 1 nor 2

Ans. (d) According to the passage, it is possible for the Indian economy to develop even faster and also to spread benefits of this growth more widely than has been done thus for, before going into details of the kinds of micro structural changes that we need to conceptualize and then proceed to implement thus neither of statement are correct. So option (d) is correct.

Passage-2

It is easy for the government to control State owned companies through nods and winks. So what really needs to be done as first step is to put petrol pricing on a transparent formula-if the price of crude is x and the exchange rate y, then every month or fortnight, the government announces a maximum price of petrol, which anybody can work out from the x any y. The rule has to be worked out to make sure that the oil-marketing companies can, in general, cover their costs . This will mean that one company can innovate and cut costs. it will make greater profits. Hence, firms will be more prone to innovate and be efficient under this system. Once the rule is announced, there should be no interference by the government. If this is done for a while, private companies will re-enter this market. And once a sufficient number of them are in the fray, we can remove the rule-based pricing and leave it truly to the market (subject to, of course, the usual relations of anti-trust and other competition laws.)

4. Consider the following statements :

According to the passage, an oil company can make greater profits, if a transparent formula for petrol pricing is announced every fortnight or month, by

1. promoting its sales.
2. undertaking innovation.
3. cutting costs.
4. selling its equity shares at higher prices .

Which of the statements given above is/are correct?

(a) only 1 (b) 2 and 3
(c) 3 and 4 (d) 1, 2 and 4

Ans. (b) According to the passage one company can innovate and cut costs it will make greater profits. Hence, firms will be more prone to innovate and be efficient under this system. Thus option (b) is correct.

5. Consider the following statements :

According to the passage, private oil companies re-enter the oil producing market if

1. a transparent rule-based petrol pricing exists.
2. there is no government interference in the oil producing market.
3. subsidies are given by the government.
4. regulations of anti-trust are removed.

Which of the statements give above are correct?

(a) 1 and 2 (b) 2 and 3
(c) 3 and 4 (d) 2 and 4

Ans.(a) According to the passage, private oil companies re-enter the oil producing market if a transparent role based petrol pricing exist and by there should be rule that has to be worked out to make sure that oil marketing companies can in general cover the cost and once the rule is announced there should be no interference by the government in the oil producing market.

Directions for the following (six) items :

Read the following two passage and answer the items that follow each passage. Your answers to these items should be based on the passages only.

Passage -1

Climate change poses potentially devastating effects on India's agriculture. While the overall parameters of climate change are increasingly accepted –a1^{0}C average temperature increase over the next 30 years, sea level rise of less than 10 cm in the same period, and regional monsoon variations and corresponding, droughts-the impacts in India are likely to be quite site and crop specific. Some crops may respond favourably to the changing conditions, others may not. This emphasizes the need to promote agricultural research and create maximum flexibility in the system to permit adaptations.

The key ingredient for ''drought proofing'' is the managed recharge of aquifers. To ensure continued yields to important staple crops (e.g. wheat), It may also be necessary to shift the locations were these crops are grown, in response to temperature changes as well as to water availability. The letter will be a key factor in making long term investment decisions.

For example, water runoff from the Himalayas is predicted to increase over the next 30 years as glaciers melt, but then decline substantially there after. It will be critical to provide incentives to plan for these large-scale shifts in agro-ecological conditions.

India needs to make long term investment in research and development in agriculture. India is likely to experience changed weather patterns in future.

6. Consider the following statements :

Climate change may force the shifting of locations of the existing crops due to

1. melting of glaciers.
2. water availability and temperature suitgability at other locations.
3. poor productivity of crops.
4. wider adaptability of crop plants.

Which of the statements given above are correct?

(a) 1, 2 and 3 (b) 2 and 3 only
(c) 1 and 4 only (d) 1,2,3 and 4